GMS WEEKLY

Your Source for Recycling News

May 12th, 2023
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Week 19

Highlights:

- **Reached bottom?**
- **Post slumber.**
- **Candidates trickle.**
- **Bangla budget.**
- **Demand ripe.**
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QUOTE of the WEEK

"The only limit to our realization of tomorrow will be our doubts today."

– Franklin D Roosevelt

MARKET COMMENTARY

LOOKING UP?

After some recent alarming declines in the sub-continent markets, we appeared to have reached the bottom early this week as a certain "stability" across the markets led to some greater confidence to acquire some of the slim pickings of tonnage currently available for recycling.

However, as the week came to an end, global currencies seemed to suffer against the U.S. Dollar in unison, as all of the major ship recycling destinations faced some declines (especially in Pakistan), leaving sentiments under pressure. This, even though local steel prices started leveling out after weeks of flatlining and even declining by about USD 25/LDT in India over the course of the month, while Bangladesh likewise deteriorated during April where Buyers finally emerged eager to negotiate post-Eid.

As we head into these traditionally quieter summer / monsoon months, the number of available candidates remains low and by some accounts, seems to have slowed even further this week, as charter markets for the previously beleaguered Dry Bulk and Container sectors continue to display a greater stability to keep vessels trading.

Pakistan expectedly remains out of the picture as political and economic uncertainty continues to wreck the country with this most recent arrest of Ex-Prime Minister Imran Khan and impending domestic unrest, in addition to the Pakistani Rupee that has further depreciated to record lows against the U.S. Dollar, leaving End Buyers reeling once again.

There is also the upcoming Bangladeshi budget in early June to be aware of, as many End Buyers are choosing to wait-and-watch the results of the budget before offering firm on tonnage once again, even though there are few expectations of any significant changes to be made for the ship recycling sector.

Finally, the Turkish market remains suspended in nowhere land, leading to absolute silence.

As prices therefore stabilize across sub-continent markets and demand seems as though it is ramping up again after the various holidays, we can only hope that a trickle of vessels we are so far seeing starts to increase and empty plots start to fill up again.

For week 19 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	580 / LDT	610 / LD	630 / LDT
2	India	Stable	520 / LDT	540 / LDT	560 / LDT
3	Pakistan*	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Declining	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

REAWAKENING!

Greater demand.

It has been a quieter few months in Bangladesh as prices have suffered declines of about USD 50 – USD 60/LDT, while the Holy month of Ramadan brought with it some reduced demand and appetite to buy.

However, upon the conclusion of various holidays, some greater demand to acquire has started to emerge and several deals have been concluded over the last couple of weeks, and that too at some impressive levels.

Budget looms.

Evidence of these fixtures can be witnessed at the waterfront as Chattogram's anchorage has been comparatively busy over the last couple of weeks, taking deliveries of all types and sizes of vessels.

Meanwhile, despite a looming budget in early June, we do expect some more deals to be concluded into a reawakening Bangladesh – especially pre-monsoon, albeit at slower overall rates due to the time taken to establish L/Cs and negotiate rates with the Central Bank.

Moreover, fundamentals remain shaky as after weeks of flatlining / no trading, local steel plate prices finally roared back into existence as trading started early in the week and that too at relatively meeker levels. Even the Bangladeshi Taka weakened against the U.S. Dollar, trading over BDT 107.30 as the week ended.

As such, an interesting summer certainly lies ahead for the Bangladeshi market that seems to be gearing up to negotiate on available units.

NO MARKET SALES REPORTED

INDIA

STABILITY SEEN!

After some sharp declines in prices and fundamentals over recent weeks, the Indian market has finally started to stabilise post-Eid and some greater demand and interest to acquire had begun to emerge again from hungry and emptying End Buyer yards.

Greater demand.

As such, several interesting deals had indeed been concluded for a very limited number of HKC recycling yards over recent weeks, including an FPSO, several Containers, and even an MR Tanker.

Since then, it has been a quieter time as both Cash Buyers and Owners seem to remain spooked by some of the more pronounced recent falls and are preferring to wait for some stability to return to the market, before offering any available tonnage again.

Few sales.

And understandably so.

Even though local steel plate prices jumped by about USD 12/Ton, this increase followed on from weeks of reportedly regular declines. Moreover, even though the Indian Rupee seemed to be firming against the U.S. Dollar as it entered the high Rs. 81.7X, it closed the week shooting past Rs. 82.20 as the week ended.

Even Alang's waterfront is showing signs of the diminished trading as barely any fresh arrivals / beachings were reported this week.

Next week will certainly be an interesting one, now that we see further inquiries incoming.

NO MARKET SALES REPORTED

PAKISTAN

DECLINES AND FALLS!

Shocking week.

Another shocking week of declines and falls left Recyclers in Pakistan sidelined once again and unable to compete on any of the tonnage that is currently in the market for sale.

The political and economic turmoil that has beset the country for the better part of almost two years, shows few signs of abating as Ex-Prime Minister Imran Khan was arrested this week and the subsequent unrest brewing amongst his supporters has resulted in the government ordering the army into the streets, so as to maintain peace, law, and order.

Currency chaos.

Moreover, like the other markets, there is another calamity brewing on the fundamentals side as the Pakistani Rupee approaches PKR 300 against the U.S. Dollar as it closed the week at PKR 295.50, leaving End Buyers utterly spooked, keeping them away from the bidding tables and out of the market for the most part.

Local steel plate prices also continue to flatline as there remains no trading of ship's steel due to the deathly shortage of product and lack of any deliveries since March.

As such, Pakistani problems seem as though they are here to stay for the time being.

NO MARKET SALES REPORTED

TURKEY

WEAK!

After last week's noteworthy decline in local and import steel plate prices in addition to the Lira's drop, this week was no different as plate prices fluctuated marginally. However, it is the Lira that is sending shockwaves through the domestic ship recycling sector as it briefly passed TRY 19.65 against the U.S. Dollar.

TRY 20?

Will TRY 20.0 be the big barrier to breach in the coming weeks remains to be seen.

For now, with a total lack of tonnage greeted with a seemingly firming sub-continent market where prices are moving further away, Turkey certainly seems stuck in neverland – especially in the immediate future.

Stuck!

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Gamma-ray bursts can release more energy in 10 seconds than our Sun will in its entire life. Nothing in the Universe rivals the power unleashed during a gamma-ray burst, a brief but incredibly intense flash of high-energy radiation. There are many types of GRB: some are thought to form when a massive star implodes; others when two neutron stars merge together.*
- *There are stars we will never be able to see. Ever since the Big Bang, most objects in space have been moving away from one another. In fact, the expansion of the Universe is actually accelerating. As regions of space are whizzing away from one another at an ever-increasing rate, the first population of stars to form in the Universe are now too far away for us to ever hope of spying them – even using the best present or future telescope. Hope is not lost; we can attempt to spot them indirectly via the energetic bursts of radiation they emit at the end of their lives.*
- *Black holes have theoretical opposites known as white holes. Black holes are known for their voracious appetites; their influence is so strong that even light can't escape their gravity. But they have a theoretical converse – white holes. They are effectively the opposite of their dark relatives, spitting out light and matter instead of trapping it. So far, they are purely hypothetical objects; astronomers are contemplating how they could form in reality.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	May 16 – May 24 June 02 – June 10 June 14 – June 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	May 18 – May 21 June 04 – June 07 June 17 – June 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival	June 29 – July 01 – Eid Ul Azha	May 19 – Youth and Sports Day June 27 – July 01 – Kurban Bayrami

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ALANG - Port Position as of May 12, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Apollo Pacific*	*2,189*	*LPG*	*Beached May 05*
2	*Cynth*	*3,349*	*Tanker*	*Beached May 05*
3	Sudarshan	1,762	Supply Vessel	Arrived May 09
Total Tonnage		**7,300**		

CHATTOGRAM - Port Position as of May 12, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Hai Chang	7,585	Bulk Carrier	Arrived May 09
2	*Hong Yang*	*11,884*	*MPP / Container*	*Beached April 06*
3	*Logan*	*1,769*	*General Cargo*	*Beached April 07*
4	*Ocean Smart 1*	*10,019*	*Bulk Carrier*	*Beached April 08*
5	*S Maru*	*860*	*Tanker*	*Beached April 06*
6	*S Maru 3*	*851*	*Cement Carrier*	*Beached April 08*
7	*Siam Ocean*	*7,996*	*Woodchip Carrier*	*Beached April 09*
8	Thor	1,103	General Cargo	Arrived April 26
9	West Ocean 9	1,671	General Cargo	Arrived April 29
10	Xin Zhou Shan	3,455	Container	Arrived May 10
Total Tonnage		**47,194**		

GADANI - Port Position as of May 12, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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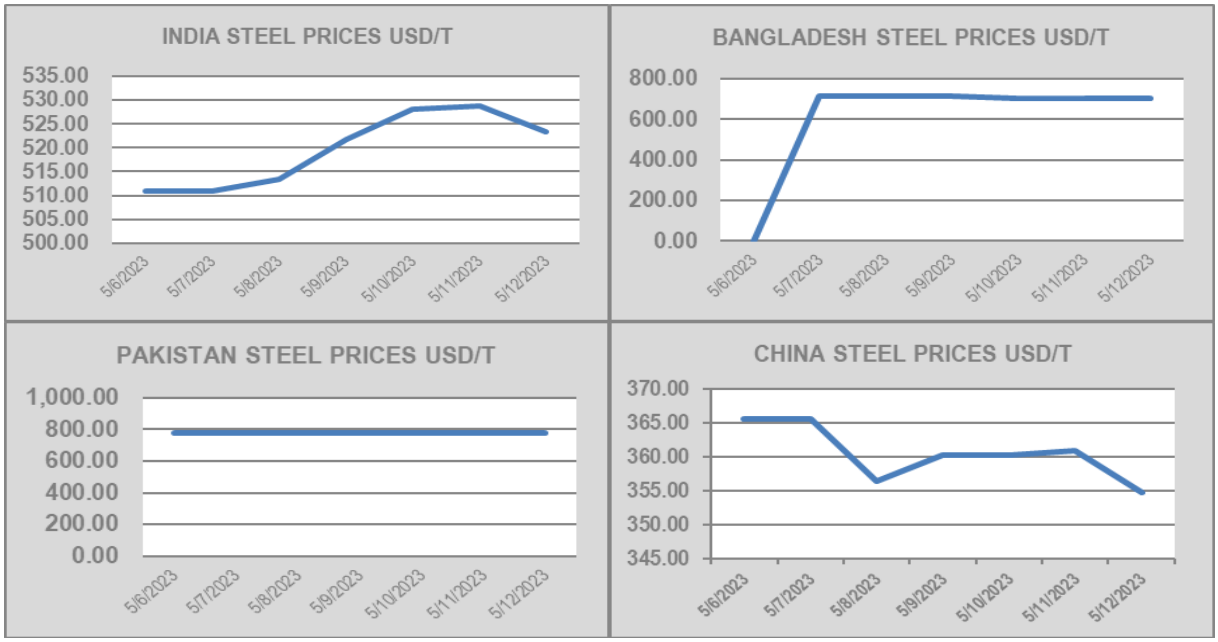
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/6/2023	511.00	41,800.00	777.39	220,000.00	NA	NO SALES	365.66
5/7/2023	511.00	41,800.00	777.39	220,000.00	714.29	75,000.00	365.66
5/8/2023	513.45	42,000.00	777.39	220,000.00	714.29	75,000.00	356.43
5/9/2023	521.70	42,800.00	777.39	220,000.00	714.29	75,000.00	360.26
5/10/2023	528.05	43,300.00	777.39	220,000.00	704.76	74,000.00	360.26
5/11/2023	528.69	43,400.00	777.39	220,000.00	704.76	74,000.00	361.07
5/12/2023	523.31	43,000.00	777.39	220,000.00	704.76	74,000.00	354.77



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